Decision Analysis

BANK LOAN - Revised

SD, 2026

Bank problem

A bank had two options - utilize its funds of Rs. 110 Cr. & give loans to customers at 12.5% interest p.a.. Or put this money in the Bond market at 6.1% interest. Historically it has been known that 92% of customers normally paid bank loans, while rest did not pay back leading to NPA.

The bank approached a credit assessment agency (charged Rs. 20 Lakhs). They observed after a customer survey that 94% of all customers did not have issues in repaying.

After accessing bank data (with privacy NDA) the agency said, of the customers who pay back, the bank had conservatively flagged 21.5% them as potential ‘Not Repay' list into their predicted NPA.

Interestingly, out of rest 6% customers whose profiles normally get flagged as “may not Repay”, a mammoth 68.9% of them were originally taken by the bank into a possible ‘will Repay' list. This was great insight for the bank.

The agency also said the overall market sentiment was largely buoyant (they did not specify what that means or how much was the probability of buoyancy and chance of repayment). They softly indicated that loans by bank will see bigger % of loanees repaying. They also said, if instead, market sentiment dipped due to international strife (the balance probability) then repayment may suffer as a lower % of those taking loan will repay the loan, compared to when market sentiment is up.

Following on the agency’s views, bank will have to take an investment decision. Can u please help?

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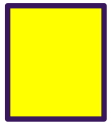
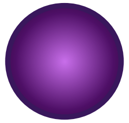


Whenever we have options to choose from

We evaluate & find the “best” possible option : eg. profit or cost



Whenever we face multiple options, that are not in our control, & that hit us. We face a chance of those options hitting us

We calculate the average outcome (or expected value) from the actions that hit us & find the best possible option : eg. profit or cost